

The somewhat frightening situation tends to be that the numbers from the hobby traders tend to be five to ten times as high as the numbers from the professionals. The professionals, when asked for percentage returns of good traders, usually say something like 15–20%. Depending on the definition of good, they may even say 25%. But the hobby traders rarely come up with triple digit numbers. I hear 100% a year, even several hundred per cent. Just how high the numbers are can depend on the type of conference, and at times I have heard the most absurd insistence on how a good trader can make at least 2.5% per day.

A mere 2.5% per day might not sound so great, until you actually stop and do the maths. Let's assume for a brief moment that this was achievable. That it's something that actually happens in the real world, at a frequency higher than extinction-causing meteor strikes. If you put US\$10,000 to work on such a strategy, how much would you have after one year?

Five million dollars. That's how much. Yes, 2.5% per day compounds to over 50,000% on an annual basis. But why would you stop after one year? In two years, you would have US\$2.5 billion. Your first trillion comes in year three and in another year or two we start reaching the kind of numbers that few people outside of the mathematics department at MIT know the names for. Inconceivable.

But it's not nice to ridicule the mathematically impaired, even when they are delusional. This was, of course, an extreme case, but it's more common that people answer around 100% per year. Well, even then, the numbers quickly spin out of the realm of reality. The same US\$10,000 traded with an annual gain of 100% per year would move quite quickly indeed. In one year, we'd have 20k, the year after, 40k. We'd make our first million in seven years and a decade in, our 10k is up to 10 million.

I'm sure you've heard stories of people who have done just that. We all have. Curiously, most of them decided to become trading mentors or performance coaches or TikTok stars after building their fortune in the trading field. You can safely assume that the percentage of these stories which are actually true is so low that it can be approximated to zero.

And if you're still sure that you know of this one person who has actually done this, in a real, verified way, then let me tell you about this Jamaican fellow I know of who ran 100 metres in 9.58 seconds. He really did that, but that doesn't mean that I or anyone else have a chance of doing the same.

Another way to look at the few true stories of outsized success is the famous coin-flipping thought experiment. Imagine a nation-wide coin-flipping competition. Everyone gets paired up, one on one, for a game. If you